Ashcombe Advisory Partners LLC

www.ashcombeadvisory.com

July 13, 2021

By email

Megan Sutton
Director of Operations
Lee, Rice and Adams

Re: Crisis communications counsel

Dear Ms. Sutton:

Thank you for the confidence you and your colleagues have shown in us at a difficult moment for Lee, Rice and Adams (the “Company”). This letter sets out the terms on which Ashcombe Advisory Partners LLC (the “Firm,” “we” or “us”) will provide crisis communications counsel to the Company. It replaces any earlier understanding about this work, whether written or oral.

The Matter and Our Role

The Company has asked us to advise on its communications concerning the recent operational disruption and its consequences for customers, employees, investors and the communities in which it operates (the “Matter”). Our role is advisory. We will recommend, draft and coordinate, and the Company will retain final authority over every statement made in its name.

In the opening weeks we expect to concentrate on holding language, a core set of questions and answers, an agreed approval route and the preparation of the Company’s designated spokespeople. As the Matter settles, our attention will move toward regular updates to each audience and, in time, toward the account the Company gives of what it has changed.

Scope of Services

Within that role, we anticipate providing the following services, adjusted as the Matter develops and as you direct:

- drafting and maintaining holding statements, reactive questions and answers, and approved language for the Company’s spokespeople;
- preparing communications to employees, customers and investors, sequenced so that each audience receives consistent information in an appropriate order;

- advising on responses to media and other inbound inquiries, and keeping a log of each inquiry and the answer given;
- coordinating the timing and distribution of announcements with the Company's legal and finance teams; and
- briefing and rehearsing designated spokespeople before interviews, calls or meetings at which the Matter is likely to arise.

Legal advice, investor relations work unrelated to the Matter and paid media placement fall outside this engagement. We would be glad to discuss any of them, and we would confirm any addition to the scope in writing before beginning it.

How We Will Work Together

During the acute phase we will be available outside ordinary business hours, and we ask that the Company tell us of significant developments as soon as it learns of them, even before every fact is confirmed. Early notice allows us to prepare language while your own review is under way.

For our part, we will rely on the information the Company provides and will not release any statement without the approval of the person or persons you designate. We would ask that approvals on legal and financial language be returned as promptly as the circumstances allow.

We will not speak to the media, investors or any other third party on the Company's behalf unless you have authorized us to do so for a particular purpose. Where we are so authorized, we will speak only from approved language and will record each exchange in the inquiry log.

Engagement Team

I will lead the engagement and will review every external statement before it is released. Amy Carter, Communications Associate, will lead the drafting of statements, talking points and audience communications, and will be your first point of contact on content.

Nancy Suarez, Communications Associate, will manage the mechanics of each release, including distribution lists, timing and coordination with your legal and finance colleagues on the day. We understand that you will act as the Company's principal contact and will route approvals on its side, and we would be grateful to hear promptly if that arrangement changes.

Conflicts of Interest

We have reviewed our current client relationships and are not aware of any that would conflict with this engagement. Should a potential conflict arise during the term, we will raise it with you before taking any further step on the matter concerned.

Fee and Commencement

Our services will be provided for a fixed professional fee of $46,500, which covers the scope described above for the full term of the engagement. The engagement will commence on July 23, 2021. Should the Company need urgent support before that date, we will provide it and treat it as falling within this letter.

Fees and Payment

We will invoice the fixed fee in equal monthly installments over the term of the engagement, and each invoice is payable within thirty days of receipt. Reasonable out-of-pocket expenses, such as wire distribution charges, will be billed at cost and incurred only with your prior approval.

Term and Termination

This engagement will continue until the services described above are complete, unless ended earlier by either party. Either party may terminate it on thirty days’ written notice, in which case the Company will pay the portion of the fee attributable to services performed through the effective date of termination, together with approved expenses incurred to that date. On conclusion, we will deliver to the Company the approved statements and inquiry log maintained during the engagement.

Confidentiality

We will hold in confidence all non-public information the Company shares with us, use it only for the purposes of this engagement, and disclose it only to Firm personnel who require it for that work. These obligations survive the end of the engagement. They do not apply to information that is or becomes public other than through our act, or that we are required by law to disclose.

Limitation of Liability

Our advice is given in good faith on the basis of the information the Company provides, and the Company remains responsible for the accuracy of the facts in any statement it issues. To the extent permitted by law, the Firm’s aggregate liability arising from this engagement will not exceed the fees paid to us under this letter, and neither party will be liable to the other for indirect or consequential loss.

Governing Law

This letter is governed by the laws of the state in which the Firm maintains its principal office, without regard to its conflict-of-laws principles. The parties will first attempt in good faith to resolve any dispute arising from this engagement before either brings it before the courts of that state.

Acceptance

If these terms reflect your understanding, please sign on the second line below and return a copy to me; a scanned signature will suffice. On receipt, Amy will send you the proposed approval route and draft holding language, so that the Company has both in hand when the engagement begins.

Yours sincerely,

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Julie Hill
Managing Partner
Date: July 13, 2021

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Megan Sutton
Director of Operations, Lee, Rice and Adams
Date: July 13, 2021